AUDIT BRIEF · Florida (FL)

Before auditing paid factory-warranty claims
Verified 2026-10-23 (statutes) · Built 2026-11-02 · FL-audit-brief-2026-10-23

Covers: Factory warranty, maintenance, service, recall and CPO claims (same rules); incentives (own 12-month window from the incentive payment; separate export rule). Service contracts issued by a non-manufacturer affiliate: unresolved.

Topic	Answer	Cite	Note
Audit eligibility			
Audit window	12 months from payment (incentives: from the incentive payment)	§ 320.64(25)	1
Incentive window	Incentives: 12 months from the date the incentive was paid	§ 320.64(25)	2
After the window	None; after 12 months payments are final, even for fraud	§ 320.64(25)	3
Deadline to take the chargeback	Not stated; process can outrun the 12-month finality **[legal review]**	§ 320.64(25)	4
Audit prerequisite	Only from an audit done inside the 12 months	§ 320.64(25)	5
Planning restrictions			
Frequency cap	1 warranty/service audit per calendar year; reasonable and periodic	§ 320.696(2)	6
Advance notice	Not in statute	—	
Selection basis	Yes: written reason for selection, given at the post-audit meeting	§ 320.64(25)	7
Permitted basis	Reasonable and periodic; never to coerce or retaliate	§ 320.64(25)	8
Testing and findings			
Chargeback grounds	False/fraudulent, or substantial noncompliance with written uniform procedures	§ 320.64(25)	9
Denial grounds	Same two grounds; no audit needed to deny	§ 320.64(25)	10
Proof and burden	Licensee must show and prove each claim; burden on licensee	§ 320.64(25)	11
Recovery scope	Only the portion proven; never the whole claim	§ 320.64(25)	12
Documentation	Substantial noncompliance with reasonable, written, uniform procedures only	§ 320.64(25)	13
Clerical errors	Immaterial description or processing defects are not a ground	§ 320.696(2)	14
Extrapolation	Not addressed; text is claim-by-claim	§ 320.64(25)	15
Chargeback process			
Post-audit meeting	Required within 30 days after the audit, before any chargeback	§ 320.64(25)	16
Written reasons	Claim-by-claim explanation with documents at the meeting; final written notice	§ 320.64(25)	17
Dealer response	At least 45 days after the meeting	§ 320.64(25)	18
Cure	Not in statute	—	
Internal appeal	Not mandated; if offered, finish it before the final notice	§ 320.64(25)	19
Wait before charging back	No express wait; recovery barred only while a timely protest is pending	§ 320.64(25)	20
Held during dispute	Yes: DHSMV protest within 30 days stops all recovery	§ 320.64(25)	21
New information	Only if received within 30 days after the audit	§ 320.64(25)	22
Exceptions and escalation			
State-specific rules	Used-vehicle warranty and recall repairs; Export and resale chargebacks; Loaner and rental program payments; Uniform and nondisparate application; No recovery of warranty compensation costs; Parts supplied at no cost	6 rules	23–28
Legal review required	Chargebacks finalized after month 12 from a timely audit; Calendar-year audit cap and incentive audits	2 items	29–30
If done wrong	Treble damages, costs and fees; injunction; license action on a pattern		p. 2
Where the dealer protests	DHSMV, within 30 days after the final notice; a timely protest stays all recovery	Fla. Stat. § 320.64(25)	p. 2

Notes — Florida audit brief

1. Audit window. 12 months from the date the claim was paid (incentives: 12 months from the date the incentive was paid). Not from the repair or submission date. § 320.64(25)

2. Window trigger for incentives. Incentive audits have their own sentence: 12 months from the date the incentive was paid. For a repair claim the trigger is the date the claim was paid. Both triggers are payment dates, but an incentive paid later than the related claim (for example a quarterly or year-end bonus) carries its own, later, 12-month clock. § 320.64(25)

3. Post-window exception (fraud etc.). None. After 12 months every payment is final 'for any reason'; there is no fraud carve-out. § 320.64(25)

4. Deadline to take the chargeback. Not stated. The required process (meeting, 45-day response, final notice, 30-day protest) can run past month 12, when payments become final. Legal review required. **[Legal review]** § 320.64(25)

5. Chargeback only from a timely audit. A post-payment chargeback must come out of an audit performed inside the 12-month window; a review started after month 12 cannot support one. § 320.64(25)

6. Audit frequency cap. One warranty, retail-repair or service-related audit per calendar year (not rolling), and audits must be 'reasonable and periodic'. Incentive audits are not named in the cap. § 320.696(2)

7. Selection basis disclosure. Required: a written statement of why the dealer was selected, handed over at the post-audit meeting. Document the selection rationale before fieldwork. § 320.64(25)

8. Permitted basis for an audit. Audits must be reasonable and periodic and limited to validating paid claims; never to coerce a dealer out of its rights or as retaliation for using them. § 320.64(25)

9. Grounds to charge back a paid claim. Two only: the claim was false or fraudulent, or the dealer failed to substantially comply with reasonable, written, uniformly applied procedures. Missing 'all' claim-coding requirements is not a ground. § 320.64(25)

10. Grounds to deny an unpaid claim. The same two grounds; a denial needs no audit. No denial of used-vehicle warranty or recall repairs because of how the need was found. § 320.64(25)

11. Who must prove what. The licensee must 'show' the ground and may recover only what it has 'proven', claim by claim, with documentation at the meeting; it bears the burden of proof in any DHSMV hearing. § 320.64(25)

12. How much of a claim may be recovered. Only the portion of a claim proven false, fraudulent or noncompliant; never the whole claim for a partial defect. § 320.64(25)

13. Limits on procedural (documentation) chargebacks. A procedure-based chargeback needs SUBSTANTIAL noncompliance with procedures that are reasonable, written and uniformly applied; unwritten or non-uniform procedures can't support one. § 320.64(25)

14. Clerical and technical errors. No express clause. An immaterial claim-description or processing defect on a valid repair is not a ground: failing 'all' claim requirements can't be charged back and only substantial noncompliance counts. Not every error someone calls clerical is covered. § 320.696(2)

15. Sampling and extrapolation. Not addressed. The text is claim-specific ('only that portion … proven'; 'each of the claims'); treat projection from a sample as unavailable without legal advice. § 320.64(25)

16. Mandatory post-audit meeting. Mandatory: within 30 days after the audit, meet the dealer's designee (in person, phone or video) before any chargeback. Miss the meeting and the chargeback is lost. § 320.64(25)

17. Written reasons. At the meeting: a detailed, claim-by-claim explanation with supporting documentation, plus the written selection statement. After internal dispute steps: written notice of the final amount. § 320.64(25)

18. Dealer response period. At least 45 days after the meeting, longer if claim volume warrants. The period restarts if the licensee raises new information. § 320.64(25)

19. Internal appeal. Not mandated. If the program offers one, it must finish before the final written notice goes out. § 320.64(25)

20. Minimum wait before taking the chargeback. No express waiting period after the final notice. Recovery is barred only while a timely DHSMV protest is pending; the statute does not say recovery must wait out the 30-day filing period. § 320.64(25) *Practice (not a statutory rule): Hold recovery until the 30-day protest-filing period has run with no protest filed, or the department has ruled. A conservative operating practice, not a statutory requirement.*

21. Stay pending dispute. A DHSMV protest filed within 30 days after the dealer receives the final notice stops all recovery (debits, netting, withholding) until a final, unappealable determination. § 320.64(25)

22. New information after the audit. The basis presented at the meeting can change only on new information received within 30 days after the audit ends, and then the meeting and response rights start over. § 320.64(25)

23. Used-vehicle warranty and recall repairs. No denial, reduction or chargeback of used-vehicle warranty or recall repairs because the need was found during an unrelated repair or because the dealer told the customer about a recall. § 320.64(41)

24. Export and resale chargebacks. Export/resale chargebacks need proof the dealer knew or should have known (a U.S. title or registration presumes it didn't), a separate meeting, a 15-day minimum response, protest and stay, and written notice of the export within 12 months of the SALE date. § 320.64(26)

25. Loaner and rental program payments. Loaner or rental program payments can't be withheld because the loaner is titled to the dealer's affiliate, if the dealer meets written, uniformly enforced eligibility and reporting rules. § 320.64(39)

26. Uniform and nondisparate application. Policies, standards, rules and programs on compensation under § 320.696, including claim and chargeback procedures, must be applied uniformly and nondisparately among the licensee's Florida dealers. § 320.696(2)

27. No recovery of warranty compensation costs. No audit fee, surcharge, holdback or offset to recoup warranty compensation costs. § 320.696(6)

28. Parts supplied at no cost. Compensation is still owed on parts the licensee supplies at no cost for recalls, campaigns or warranty repairs (less dealer cost); an audit adjustment that removes it has no basis in the statute. § 320.696(3)(c)

29. LEGAL REVIEW REQUIRED — Chargebacks finalized after month 12 from a timely audit

§ 320.64(25) allows a chargeback only from a timely audit and then requires a process that routinely ends after month 12, when the same subsection makes every payment final 'for any reason'; the text does not say whether a timely audit preserves a later chargeback.

Action: Obtain legal interpretation before taking any chargeback more than 12 months after the payment date, and schedule Florida audits early enough in the window that the meeting, 45-day response and final notice can be completed inside 12 months of payment. § 320.64(25)

30. LEGAL REVIEW REQUIRED — Calendar-year audit cap and incentive audits

§ 320.696(2) caps warranty, retail-repair and service-related audits at once per calendar year; incentive audits are regulated separately in § 320.64(25) and the cap does not name them. Whether a given incentive audit also counts as a service-related audit is a scope question the text does not answer.

Action: As operating policy pending legal interpretation, treat incentive audits as subject to the once-per-calendar-year cap and the "reasonable and periodic" standard; obtain interpretation before conducting a second audit of any kind at a Florida dealer in the same calendar year. § 320.696(2)

Not expressly addressed in the reviewed statutes (verified 2026-10-23): advance audit notice; right to cure or resubmit.

If done wrong. An audit or chargeback that violates § 320.64(25), or any failure to meet § 320.696, is a licensing ground (denial, suspension or revocation on a pattern of wrongdoing) and makes the licensee liable for any single violation to treble the dealer's pecuniary loss plus costs and attorney's fees with the burden shifting to the licensee after a prima facie showing (§ 320.697), to an injunction without bond (§ 320.695), and to a DHSMV proceeding (§ 320.699).

Where the dealer protests. Protest to the Department of Highway Safety and Motor Vehicles within 30 days after the dealer receives the written notice of the final proposed chargeback amount; a timely protest bars any action to recover until the department's final, unappealable determination, with the burden of proof on the licensee. Dealers may also request a § 320.699 administrative hearing or sue under §§ 320.695 and 320.697. Fla. Stat. § 320.64(25); §§ 320.695, 320.697, 320.699

Sources. 10 sources read (official); the list, with links and editions, is on the state page.

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